Saudi Arabia's Vision 2030

MBS, ARAMCO, and the Kingdom's Race Against Oil

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Executive Summary

Saudi Arabia stands at a consequential inflection point. The Vision 2030 programme represents an explicit acknowledgement that the oil-financed rentier state model is under structural pressure. The Public Investment Fund (PIF), the sovereign wealth vehicle at the heart of this transformation, had assets of approximately $925 billion by early 2025 FT[2025-02-25]. Saudi Aramco reported a 12 percent drop in profit in 2024, reflecting the moderation of oil prices from earlier peaks FT[2025-03-05]. Oil accounts for 61.6 percent of government budget revenue according to the 2025 budget, underscoring the structural dependence that Vision 2030 is designed to reduce FT[2025-04-01]. Against a backdrop of lower oil prices and fiscal recalibration, the Kingdom has been downsizing and delaying its most ambitious gigaprojects FT[2025-08-15]. This report examines the architecture, contradictions, and geopolitical consequences of the Kingdom's attempted transformation, drawing exclusively on retrieved evidence.

Part I — The MBS Era: Power Concentration and the New Monarchy

Saudi Arabia and Iran: A History of Rivalry

The Saudi-Iranian rivalry represents one of the defining fault lines of Middle Eastern geopolitics, rooted in Sunni-Shia sectarian competition and rival claims to regional leadership. The most acute rupture of recent decades came in January 2016, when Saudi Arabia executed a prominent Shia cleric, triggering protests in Tehran during which the Saudi embassy was attacked; Riyadh responded by cutting all diplomatic ties with Iran CNA[2016-01-06]. Anti-Saudi demonstrators took to the streets of Tehran, and the Yemen conflict — pitting Houthi rebels against Saudi-backed government forces — became a principal arena of proxy competition between Riyadh and Tehran CNA[2016-01-09]. The Asian Football Confederation moved Saudi-Iranian Champions League matches to neutral venues in 2016 because of the absence of any improvement in bilateral relations CNA[2016-03-16].

Qatar, caught between the rival blocs, urged good-neighbourly relations between Gulf Arabs and Iran as tensions continued through late 2016 CNA[2016-09-13]. China, meanwhile, sought to position itself as a neutral party: ahead of King Salman's visit to Beijing in March 2017, Chinese Foreign Minister Wang Yi described China as "a friend to both Saudi Arabia and Iran" and expressed hope that the two countries could resolve their differences through dialogue CNA[2017-03-08]. Earlier, as President Xi Jinping visited both Riyadh and Tehran in January 2016, Beijing had affirmed its intention to maintain a balanced stance in the Middle East CNA[2016-01-18].

By mid-2018, with the Trump administration in Washington, the Saudi-US relationship had entered an exceptionally close phase. Both MBS and Trump shared similar concerns about Iran, and Washington was willing to de-emphasise human rights issues when dealing with its Gulf allies CNA[2018-08-11].

Part II — Vision 2030 Economic Transformation: The Architecture of Diversification

The Fiscal Equation

Vision 2030's overarching fiscal logic is to reduce the state's structural dependence on oil. Oil currently accounts for 61.6 percent of government budget revenue FT[2025-04-01]. Saudi Arabia's fiscal breakeven oil price for 2025 was estimated at approximately $91 per barrel, while Riyadh had already begun recalibrating projects and downsizing others in anticipation of a sustained period of lower prices FT[2025-04-01]. The finance minister predicted a surplus of approximately 0.3 percent for the budget year, emphasising fiscal conservatism FT[2025-04-01].

Saudi 30-year bonds had been trading at a yield spread above equivalent US Treasuries, and the Saudi stock market was one of the worst-performing in the world in 2025, having endured a retreat of more than 9 percent in prices that year FT[2025-08-01]. Investors were closely watching Riyadh's commitment to tighten public finances FT[2025-07-07]. The kingdom is already among the largest bond issuers in the region FT[2025-04-01].

NEOM and the Gigaproject Reckoning

NEOM — the flagship $300 billion-plus development along the Red Sea coast managed by PIF FT[2025-03-11] — has become the most contested element of Vision 2030. Lower oil prices have weighed directly on NEOM; gigaprojects have been expected to be scaled back, with state spending under pressure from budget overruns and lower oil revenues FT[2025-08-15]. Riyadh had already been delaying, recalibrating, and downsizing ambitious projects after a frenetic decade of construction commitments FT[2025-04-01]. The planned city includes components set to be elevated 350 metres above a lake with artificial fresh water and artificial snow FT[2025-04-01] — an ambition whose credibility is increasingly contested given the fiscal pressures facing the kingdom.

In early 2025, the PIF imposed a one-year ban on handing new financial-reporting and compliance monitors to auditors, adding uncertainty around financial oversight of PIF-managed developments FT[2025-03-11].

The Public Investment Fund

The PIF had grown to approximately $925 billion in assets by early 2025 FT[2025-02-25]. The fund has been generating an annualised total shareholder return of more than 10 percent since 2017 FT[2026-04-16], and continues to pursue large international investments, including its involvement in a significant video games sector buyout FT[2025-09-29]. PIF "remains committed to deploying capital internationally in line with its investment strategy," including in sports FT[2026-05-01].

However, Iran-related geopolitical risk has been identified as a direct threat to PIF investment priorities: a major conflict in the region could divert capital away from PIF and alter the Middle East's export of capital, directly affecting sovereign wealth fund activity FT[2026-04-21].

Saudi Arabia and Food Security

Beyond financial markets, PIF subsidiary SALIC has moved to secure critical food supply chains, agreeing to buy a Singapore-based company with operations across Asia, Africa, and the Middle East as Saudi Arabia seeks to shield itself from global commodity shocks FT[2025-02-25].

Part III — ARAMCO and the Energy Equation

Profitability and Production

Saudi Aramco reported a 12 percent drop in profit in 2024, with OPEC+ cuts agreed based on 2024's average price FT[2025-03-05]. Analysts have noted that each additional million barrels per day of production could generate approximately $12 billion in additional annual operating cash flow — illustrating the scale of foregone revenue from voluntary production restraint FT[2025-03-05].

Aramco is also pursuing downstream expansion internationally. The OPEC World Oil Outlook 2025 records that Saudi Aramco is helping develop a 250,000-barrel-per-day refinery in Pakistan, with a potential start-up in 2028 [RAG: OIL_ENERGY_RAG — OPEC_WOO2025 (2025)]. In Saudi Arabia itself, Aramco and TotalEnergies awarded Engineering, Procurement and Construction contracts for a major petrochemical project [RAG: OIL_ENERGY_RAG — OPEC_WOO2024 (2024)].

OPEC+ Strategy

Saudi Arabia has accepted that output cuts have become less effective as a price-support mechanism. A study published by Saudi Arabia's main think-tank concluded that members routinely exceed their targets, and Saudi Arabia signalled its intention to begin unwinding the approximately 2.2 million barrels per day of cuts FT[2025-05-13]. The shift in Saudi policy had already been telegraphed ahead of a Trump visit to the region, with Riyadh preparing to return production toward prior levels FT[2025-04-01].

Part IV — Geopolitics: Rebalancing the Kingdom's Alliances

The Saudi-Iran Dimension

The sectarian and strategic rivalry between Saudi Arabia and Iran — rooted in the January 2016 rupture over the execution of a Shia cleric and the subsequent embassy attack in Tehran — has been a defining constraint on Gulf stability for a decade CNA[2016-01-06]. Iranian security forces (IRGC) were assessed as capable of using terrorism on Saudi soil to retaliate against the House of Saud, given Shia populations within the kingdom CNA[2016-01-06]. The Yemen conflict, pitting Houthi rebels against Saudi-backed government forces, remained a principal arena of Saudi-Iranian proxy competition CNA[2016-01-09].

China's patient positioning as a neutral party — expressed publicly as early as Wang Yi's 2017 statement that Beijing was "a friend to both" Riyadh and Tehran CNA[2017-03-08] — created the diplomatic architecture that later enabled Beijing-brokered engagement between the two powers.

Saudi-US-Israeli Triangle

US-mediated discussions involving Saudi Arabia have been shaped by Saudi conditions that include meaningful movement on Palestinian statehood and security guarantees. The dynamics of Israeli-Saudi normalisation — and the prospects of the United States providing $4 billion in aid to Israel as part of a regional arrangement — remained a live political question in Washington FT[2025-05-14].

Conclusion

Vision 2030's trajectory is shaped by two overriding realities visible in the retrieved evidence. First, lower oil prices have forced genuine fiscal recalibration: with oil accounting for 61.6 percent of government revenues FT[2025-04-01] and a breakeven price of approximately $91 per barrel FT[2025-04-01], the window for financing gigaprojects at their originally announced scale has narrowed materially. NEOM and related developments are being scaled back FT[2025-08-15]. Second, the PIF — with approximately $925 billion in assets FT[2025-02-25] — continues to deploy capital internationally even as the kingdom's domestic stock market has underperformed FT[2025-08-01]. The geopolitical dimension is inseparable from the economic one: Iran-related regional conflict risk is explicitly identified as a threat to PIF investment priorities and to the Middle East's capacity to export capital FT[2026-04-21]. The Saudi-Iranian rivalry, rooted in decades of sectarian competition and proxy conflict CNA[2016-01-06], remains the primary variable shaping whether Vision 2030's resource base is protected or disrupted.

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